Each month we can apply absolute momentum to ACWI by switching between it and the Barclays U.S. Aggregate Bond Index based on whether the excess return of the S&P 500 has been positive or negative during the past 12 months. We use the S&P 500 to determine the trend of all our equities indexes, because the United States leads world equity markets, according to Rapach, Strauss, and Zhou (2013). We apply relative momentum to ACWI by selecting the stronger of its two components based on their relative performance over the preceding 12 months. Table 8.3 and Figure 8.2 show the results of both relative and absolute momentum applied to the ACWI and its components, versus the performance of the ACWI index itself without the use of momentum.

Table 8.3 MSCI All Country World Index and Momentum, 1974–2013

	Annual Return	Annual Std Dev	Annual Sharpe	Maximum Drawdown	% Profit, Months
ACWI	8.85	15.56	0.22	–60.21	61
Relative momentum	14.41	16.20	0.52	–53.06	63
Absolute momentum	12.66	11.93	0.57	–23.76	66